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A Fresh Start, a New Mentor

Harshad's arrest in the first week of June took the battle out of the bulls. Later, it emerged that the bear cartel had managed to escape by the skin of their teeth. Harshad's reckless purchases and the resultant surge in share prices had pushed some of the smartest stock market bears to the brink. But it also emerged that most of them – if not all of them – had managed to somehow obtain funds to be able to stay in the fight longer than otherwise seemed possible. Had the scam not been exposed they would have been in serious trouble. I would not go so far as to use the word 'bankruptcy'. But the bears would certainly suffer wounds that would take long to heal.

I made over Rs 1 lakh from my trades in April. What saved me was my decision to put aside some money for the donation to get Satish into an engineering college. A good chunk of my winnings since the start of the year was in the bank by the time stock prices began their prolonged slide. I took a hit on most of my trading positions though. But looking at the losses most of my friends and acquaintances had suffered, I had reason to be thankful to the Almighty.

Despite having been in the stock market for nearly a year and a half now, I had still not made a single investment myself. I owned no shares in my name. I had taken delivery of shares a few times, but would sell them off in the very next settlement. The main reason for this was my lack of understanding of companies' businesses; I only understood prices. Another reason was my lack of conviction about the merits of investing for the long term. I had heard plenty of stories about retail investors subscribing to the initial public offerings of MNCs in the late 1970s and early 1980s to